offering end-to-end business solutions and consulting. Today, Indian IT firms serve many of the world's large corporations, offering a broad range of services, from cloud computing and digital transformation to AI, data analytics and blockchain. The sector has become a key pillar of the Indian economy, contributing over 7 per cent to the GDP. In FY25 alone, IT services exports touched $224 billion (Rs 19.7 lakh crore), nearly 60 per cent of India's services exports of $387.5 billion (Rs 34 lakh crore).

Digitisation had long been on the IT sector's radar, but the COVID-19 pandemic accelerated its adoption across industries. What followed was a hiring spree, with IT companies opting for 'revenge hiring', adding one million new recruits, half of them in IT services firms, in FY22. The euphoria proved short-lived, as Russia's invasion of Ukraine in February 2022 and the galloping advance of AI put the brakes on this expansion. According to Xpheno, just 1.26 million new recruits were hired in the next three years, from FY23 to FY25. The slowdown seems to be persisting into FY26. Staffing firms project a net addition of 520,000 new recruits, half the number hired four years ago. In the first quarter of FY26, the top six IT firms added only 3,847 employees, a 72 per cent drop from 13,935 in the preceding quarter. Growth is also stalling in core markets like the US, which accounts for 70 per cent of the business. Entry-level hiring in big tech has plummeted 50 per cent from pre-COVID levels; salaries have stagnated too.

However, even as legacy IT services face intense pressure, start-ups, end-user IT departments and Global Capability Centres (see *The Bright Spot*) are moving up the pecking order. GCCs, or offshore strategic units set up by multinational companies to handle specialised functions like IT, finance, HR and R&D, have, in fact, been one of the few bright spots in IT hiring. The broader sector, though, is seeing a structural reset, with the traditional pyramid model—characterised by large-scale hiring and multiple layers of management—starting to show cracks. In its latest earnings call, TCS acknowledged that delays in decision-making and deferrals in discretionary projects had persisted and even worsened through Q1FY26. A leaner workforce has naturally helped firms sustain or improve their revenue-per-employee ratio, a key performance metric.



> "Even before the advent of AI, a lot of automation was happening already. What AI has done is to **accelerate that process and also extend it to tasks that were not getting automated** or not considered
>
> **— R. CHANDRASHEKHAR**
> *Former President, Nasscom*



> There's a shift from volume to value, from a head count–based approach to an outcome–based one. **Skill development is no longer about coding skills** but about agility, domain, industrial use cases
>
> **— C.P. GURNANI,** *Co-founder & Vice Chairman, AlonOS*

Shifting Ground

What is fuelling this seismic shift in the Indian IT landscape that primarily comprises IT services, GCCs, tech startups, IT products, consulting and tech jobs across industries? At the heart of it lies the IT services segment, the sector's largest employer, with 2.6 million working in areas like software development, system integration and infrastructure management. GCCs employ another 1.8 million, while IT product companies like Amazon, Microsoft and Meta employ 1.5 million. Then there is the business process management (BPM) or IT-enabled services (ITeS) segment, which operates back offices and call centres. While Nasscom estimates 1.4 million to be working in this segment, researchers like Xpheno do not count them as proper tech jobs.

One obvious trigger for the layoffs is the geopolitical disruption. The uncertainties stemming from the Ukraine and Palestine wars, compounded by the re-election of Donald Trump as US president in November 2024, have rattled global markets, forcing clients to rein in spending significantly. A top-notch headhunter, who requested anonymity, recounted how Indian IT companies instructed her firm to freeze all hiring at the senior leadership level just days after Trump's re-election. "The IT services industry derives its revenues from all the major economies of the world, except probably China. Hence any perturbation in the global economy will have an impact on the Indian IT